

LEGISLATURE OF THE STATE OF IDAHO
Sixty-eighth Legislature Second Regular Session - 2026

IN THE SENATE

SENATE BILL NO. 1274

BY COMMERCE AND HUMAN RESOURCES COMMITTEE

AN ACT

RELATING TO STATE EMPLOYMENT; PROVIDING LEGISLATIVE INTENT; AMENDING SECTION 59-1606, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; AMENDING SECTION 59-1607, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; AMENDING SECTION 67-5315, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; AMENDING SECTION 67-5328, IDAHO CODE, TO REMOVE OBSOLETE LANGUAGE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. IDAHO CODE CLEANUP -- LEGISLATIVE INTENT. It is the intent of the Legislature to ensure that the state laws provided in Idaho Code are streamlined, up-to-date, and essential for the citizens of Idaho, while best serving the public health, safety, and welfare. In accordance with the Idaho Code Cleanup Act, following comprehensive review, the Legislature has identified the provisions of this act as obsolete, outdated, or unnecessary.

SECTION 2. That Section 59-1606, Idaho Code, be, and the same is hereby amended to read as follows:

59-1606. VACATION TIME. (1) Eligible nonclassified officers and employees in the executive department and in the legislative department shall accrue vacation leave and take vacation leave at the same rate and under the same conditions as is provided in section 67-5334, Idaho Code, for classified officers and employees.

(a) The state board of examiners shall adopt comparative tables and charts to compute vacation time on daily, weekly, bi-weekly, calendar month and annual periods.

(2) Eligible nonclassified officers and employees in the judicial department shall accrue vacation leave as determined by order of the supreme court.

Leave policies established by the supreme court must be communicated to the state controller in writing at least one hundred eighty (180) days in advance of the effective date of the policies.

(3) The state board of education shall determine the vacation leave policies for all officers and employees of the state board of education who are not subject to the provisions of chapter 53, title 67, Idaho Code. To the extent possible, the state board of education shall adopt policies which are compatible with the state's accounting system.

Any policy and procedures determined by the state board of education must be communicated to the state controller in writing at least one hundred eighty (180) days in advance of the effective date of the policy and procedures.

~~(4) For those eligible nonclassified officers and employees previously employed by a county office of public defender or joint office of public de-~~

~~fender and hired by the office of the state public defender prior to January 1, 2025:~~

~~(a) Credited state service, for the purposes of section 67-5334, Idaho Code, shall include all credited service earned for purposes of the public employee retirement system established pursuant to chapter 13, title 59, Idaho Code; and~~

~~(b) At the discretion of the officer or employee, up to forty (40) hours of unused paid time off shall be secured for, and credited to, the officer or employee by the office of the public defender to be utilized as vacation time. The officer or employee's prior employing county shall bequest and deposit funds corresponding to the secured and credited vacation hours in the state public defense fund established by section 57-827, Idaho Code.~~

SECTION 3. That Section 59-1607, Idaho Code, be, and the same is hereby amended to read as follows:

59-1607. HOURS OF WORK AND OVERTIME. (1) It is the policy of the legislature of the state of Idaho that all classified and nonclassified officers and employees of the executive branch of state government shall be treated substantially similar with reference to hours of employment, holidays and vacation leave, except as provided in this chapter. For wage, hour and working conditions, the supreme court and the legislative council shall prescribe rules for employees of the judicial branch and the legislative branch, respectively. The policy of this state shall not restrict the extension of regular work hour schedules on an overtime basis, which shall be the same for classified and nonclassified employees, in those activities and duties where such extension is necessary and authorized by the appointing authority.

(2) The appointing authority of any department shall determine the necessity for overtime work and shall provide for cash compensation or compensatory time off for such overtime work for eligible classified and nonclassified officers and employees.

(3) Classified and nonclassified officers and employees who fall within one (1) or more of the following categories are ineligible for cash compensation or compensatory time for overtime work:

(a) Elected officials; or

(b) Those included in the definition of section 67-5303(j), Idaho Code.

(4) Classified and nonclassified employees who are designated as executive, as provided in section 67-5302, Idaho Code, and who are not included in the definition of subsection (3) of this section, shall be ineligible for compensatory time or cash compensation for overtime work. Such salaried employees shall report absences in excess of one-half (1/2) day. Employees who become executives within their current agency as set forth in section 67-5302(12), Idaho Code, shall have twelve (12) months from the date of this act or of appointment, whichever is later, to use any compensatory time balance. After twelve (12) months, any remaining compensatory time will be forfeited. Compensatory time is not transferable and shall be forfeited at the time of transfer to another appointing authority or upon separation from state service.

(5) Classified and nonclassified officers and employees who are designated as administrative or professional as provided in the federal fair labor standards act, or who are designated as exempt under any other complete exemption in federal law, and who are not included in the definition of subsection (3) of this section, shall be ineligible for cash compensation for overtime work unless cash payment is authorized by the state board of examiners for overtime accumulated during unusual or emergency situations, but such classified and nonclassified officers and employees shall be allowed compensatory time off from duty for overtime work. Such compensatory time shall be earned and allowed on hour-for-hour basis, shall not be transferable, and shall be forfeited at the time of transfer to another appointing authority or upon separation from state service. Compensatory time may be accrued and accumulated up to a maximum of two hundred forty (240) hours. ~~Effective with the first pay period in July 2008 (beginning date June 15, 2008), compensatory~~ Compensatory time balances in excess of two hundred forty (240) hours will not continue to accrue until the balance is below the maximum.

(6) Classified and nonclassified officers and employees who are not designated as executive, administrative or professional as provided in this section, and who are not included in the definition of subsection (3) of this section or who are not designated as exempt under any other complete exemption in federal law, shall be eligible for cash compensation or compensatory time off from duty for overtime work, subject to the restrictions of applicable federal law. Compensatory time off may be provided in lieu of cash compensation at the discretion of the appointing authority after consultation, in advance, with the employee. Compensatory time off shall be paid at the rate of one and one-half (1 1/2) hours for each overtime hour worked. Compensatory time off that has been earned during any one-half (1/2) fiscal year but not taken by the end of the succeeding one-half (1/2) fiscal year shall be paid in cash on the first payroll following the close of such succeeding one-half (1/2) fiscal year. Compensatory time not taken at the time of transfer to another appointing authority or upon separation from state service shall be liquidated at the time of such transfer or separation by payment in cash.

(7) Notwithstanding the provisions of this section, employees may be paid for overtime work during a disaster or emergency with the approval of the board of examiners.

SECTION 4. That Section 67-5315, Idaho Code, be, and the same is hereby amended to read as follows:

67-5315. ESTABLISHMENT AND ADOPTION OF EMPLOYEE PROBLEM SOLVING AND DUE PROCESS PROCEDURES. (1) Each participating department shall, ~~on or before July 1, 1999,~~ establish and adopt an employee problem solving procedure within such department, which shall be reduced to writing and shall be in full compliance with the provisions of the uniform problem solving procedure as adopted by rule by the administrator pursuant to subsection (4) of this section. The department problem solving procedure shall be approved by the administrator of the division of human resources prior to implementation or amendment. A copy of the approved problem solving procedure plan shall be furnished and explained to each employee of the department concerned. No

1 employee shall be disciplined or otherwise prejudiced in his employment for
 2 exercising his rights under the plan, and department heads shall encourage
 3 the use of the plan in the resolution of grievances arising in the course of
 4 public employment. A classified employee may file under the problem solving
 5 procedure any matter, except that compensation shall not be deemed a proper
 6 subject for consideration under the problem solving procedure except as it
 7 applies to alleged inequities within a particular agency or department, and
 8 except for termination during the entrance probationary period, and except
 9 for those matters set forth in subsection (2) of this section.

10 (2) No action of a participating department relating to a disciplinary
 11 dismissal, suspension or demotion, or an involuntary transfer of a classi-
 12 fied state employee shall be effective until the affected employee shall
 13 have received notice and an opportunity to be heard. The classified employee
 14 may then appeal to the Idaho personnel commission those disciplinary matters
 15 set forth in section 67-5316(1) (a), Idaho Code.

16 (3) If the filing concerns a matter which is reviewable pursuant to
 17 section 67-5316, Idaho Code, the time for appeal to the commission shall not
 18 commence to run until the employee has completed the problem solving proce-
 19 dure provided by the department in accordance with the terms thereof or, in
 20 the case of disciplinary actions set forth in subsection (2) of this section,
 21 until the disciplinary action becomes effective; provided, however, the
 22 failure of an employee to pursue the problem solving procedures established
 23 within the department shall constitute a waiver of the employee's right of
 24 review by the commission.

25 (4) The division of human resources shall adopt a rule defining uni-
 26 form problem solving and due process procedures for use by all participating
 27 departments with classified employees. With respect to the problem solv-
 28 ing procedure, the rule shall provide a complete procedure for all stages of
 29 the process, including problem solving meetings with department represen-
 30 tatives in the employee's chain of command. With respect to the due process
 31 procedure, the rule shall provide that the employee receive notice and an op-
 32 portunity to be heard before the department decides in favor of disciplinary
 33 action. The rule shall also provide for time periods for each step of the
 34 procedures. The rule shall provide for the use of an impartial mediator upon
 35 agreement between the agency and the employee. The employee shall be enti-
 36 tled to be represented by a person of the employee's own choosing at each step
 37 of the procedures, except the initial informal discussion with the immediate
 38 supervisor prior to filing under the problem solving procedure.

39 SECTION 5. That Section 67-5328, Idaho Code, be, and the same is hereby
 40 amended to read as follows:

41 67-5328. HOURS OF WORK AND OVERTIME. (1) It is hereby declared to be
 42 the policy of the legislature of the state of Idaho that all state employees
 43 shall be treated substantially similar with reference to hours of employ-
 44 ment. The policy of this state as declared in this act shall not restrict the
 45 extension of regular work hour schedules on an overtime basis in those ac-
 46 tivities and duties where such extension is necessary and authorized, pro-
 47 vided that overtime work performed under such extension is compensated for
 48 as hereinafter provided.

1 (2) The appointing authority of any department shall determine the ne-
2 cessity for overtime work and shall provide for cash compensation or compen-
3 satory time off for such overtime work for eligible classified officers and
4 employees, subject to the restrictions of applicable federal law.

5 (3) Cash for overtime and compensatory time shall be paid based on the
6 following criteria:

7 (a) Classified and nonclassified officers and employees who fall
8 within one (1) or more of the following categories are ineligible for
9 cash compensation or compensatory time for overtime work:

10 (i) Elected officials; or

11 (ii) Those included in the definition of section 67-5303(j),
12 Idaho Code.

13 (b) Classified and nonclassified employees who are designated as ex-
14 ecutive, as provided in section 67-5302, Idaho Code, and who are not
15 included in the definition of paragraph (a) of this subsection, shall
16 be ineligible for compensatory time or cash compensation for over-
17 time work. Such salaried employees shall report absences in excess
18 of one-half (1/2) day. Employees who become executives within their
19 current agency as set forth in section 67-5302(12), Idaho Code, shall
20 have twelve (12) months from the date of this act or of appointment,
21 whichever is later, to use any compensatory time balance. After twelve
22 (12) months, any remaining compensatory time will be forfeited. Com-
23 pensatory time is not transferable and shall be forfeited at the time of
24 transfer to another appointing authority or upon separation from state
25 service.

26 (c) Classified and nonclassified employees who are designated as ad-
27 ministrative or professional, as provided in the federal fair labor
28 standards act, 29 U.S.C. 201 et seq., or who are designated as exempt
29 under any other complete exemption in federal law, and who are not in-
30 cluded in the definition of paragraph (a) or (b) of this subsection,
31 shall be ineligible for cash compensation for overtime work unless cash
32 payment is authorized by the state board of examiners for overtime ac-
33 cumulated during unusual or emergency situations, but such classified
34 and nonclassified employees shall be allowed compensatory time off
35 from duty for overtime work. Such compensatory time shall be earned and
36 allowed on hour-for-hour basis, shall not be transferable, and shall
37 be forfeited at the time of transfer to another appointing authority
38 or upon separation from state service. Compensatory time may be ac-
39 crued and accumulated up to a maximum of two hundred forty (240) hours.
40 ~~Effective with the first pay period in July 2008 (beginning date June~~
41 ~~15, 2008), compensatory~~ Compensatory time balances in excess of two
42 hundred forty (240) hours will not continue to accrue until the balance
43 is below the maximum.

44 (d) Classified and nonclassified employees who are not designated as
45 executive, administrative or professional as provided in this section
46 and who are not included in the definition of paragraph (a) of this sub-
47 section or who are not designated as exempt under any other complete
48 exemption in federal law shall be eligible for cash compensation or com-
49 pensatory time off from duty for overtime work, subject to the restric-
50 tions of applicable federal law. Compensatory time off may be provided

1 in lieu of cash compensation at the discretion of the appointing author-
2 ity after consultation, in advance, with the employee. Compensatory
3 time off shall be paid at the rate of one and one-half (1 1/2) hours for
4 each overtime hour worked. Compensatory time off that has been earned
5 during any one-half (1/2) fiscal year but not taken by the end of the
6 succeeding one-half (1/2) fiscal year shall be paid in cash on the first
7 payroll following the close of such succeeding one-half (1/2) fiscal
8 year. Compensatory time not taken at the time of transfer to another ap-
9 pointing authority or upon separation from state service shall be liq-
10 uidated at the time of such transfer or separation by payment in cash.

11 (e) Notwithstanding the provisions of this section, employees may be
12 paid for overtime work during a disaster or emergency with the approval
13 of the board of examiners.

14 (4) Cash compensation for overtime, when paid, shall be at one and one-
15 half (1 1/2) times the hourly rate of that officer's or employee's salary or
16 wage, except for those employees whose positions fall within the definitions
17 of executive, administrative or professional as stated in section 67-5302,
18 Idaho Code, who will be paid at their regular hourly rate of pay as provided
19 for in subsection (3) of this section.

20 (5) Except as provided for in subsection (3) of this section, compensa-
21 tion for authorized overtime work shall be made at the completion of the pay
22 period next following the pay period in which the overtime work occurred and
23 shall be added to the regular salary payment.

24 (6) At the request of the administrator of the division of human re-
25 sources, agencies in the executive department shall conduct a review and co-
26 operate with the division of human resources to ensure all fair labor stan-
27 dards act requirements are appropriately implemented for all positions and
28 provide the report to the division of human resources.

29 SECTION 6. An emergency existing therefor, which emergency is hereby
30 declared to exist, this act shall be in full force and effect on and after
31 July 1, 2026.